

CHANDRADEEP KUMAR

A STORM WEATHERED

Policy measures and repo rate increases have helped India navigate the pandemic and war-fuelled price rise

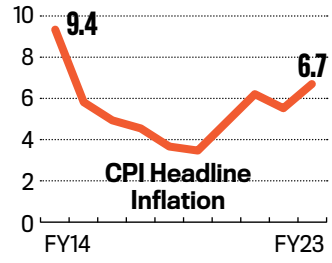
HIGH PRICES HAVE BEEN A BUGBEAR FOR THE Narendra Modi government since 2014. The pandemic and the current conflagrations in Ukraine and West Asia made things worse in its second term.

Though multiple measures by the RBI and the Centre ensured consumer price index (CPI) inflation held at 5 per cent between 2014-15 and 2022-23 on average, inflation shot up to 7.2 per cent in April 2020 and peaked to 7.6 per cent that October, well above the RBI's 6 per cent limit. While the central bank was forced to keep interest rates low during the pandemic to boost consumption, the imperative reversed from May 2022 onwards. The RBI hiked the repo rate (at which it lends to commercial banks) by 2.5 percentage points—from 4 per cent in May 2022 to 6.5 per cent in February 2023; it remains unchanged even though inflation has eased. The Centre, meanwhile, reduced excise duty on petrol and diesel, prohibited wheat export, imposed duty on rice export and maintained buffer stocks for onion and pulses. While fuel inflation has been under check due to fears of a slowdown in global markets and the war, and core inflation (which excludes food and fuel) is down as input costs are moderating, food inflation remains a worry. That is because, as D.K. Joshi, chief economist with Crisil, explains, "The food basket has about 45 per cent weightage in CPI. Agriculture has been underperforming." Average annual inflation between FY14 and FY23 declined to 5 per cent from 8.2 per cent between FY04 and FY14. CPI inflation stood at 5.09 per cent in February, within the RBI's 2-6 per cent tolerance band for the sixth consecutive month. However, RBI governor Shaktikanta Das has ruled out any further reduction in interest rates, holding on to the rate in its April 5 review. ■

-M.G. Arun

THE PRICE PATTERN

Annual inflation in the Modi years has been 5 per cent on average



Annual inflation is the average of the monthly inflation rates during the year

Source: CMIE Economic Outlook

> **"Food inflation is a problem. The food basket has 45 per cent weightage in CPI. Agriculture has been underperforming"**
>
> **–D.K. JOSHI,**
> *Chief Economist, Crisil*

Vikas, Sabka Vishwas", that devolves on development, inclusion and trust.

As claims and counterclaims about the economy—its progress or the lack thereof—fly thick and fast in the campaign pitches of both the ruling and the Opposition alliance, INDIA TODAY decided to shun the rhetoric and embark on a realistic assessment of the Modi government's track record on key parameters. Spanning both terms of the prime minister, they include both hits and misses, all documented and analysed in these pages.

If rights-based entitlements defined Manmohanomics, Modinomics is about fiscal prudence and investment-led development

"Rather than being just black or white, the truth about India's economic progress under the Modi government has plenty of shades of grey," says Subhash Chandra Garg, a former Union finance secretary in the Modi govern-